How to Use Your Cost Segregation DIY Workbook

SKU TAX-010 · COST SEGREGATION DIY WORKBOOK

Pulls 5 years of depreciation into one. The IRS-acceptable DIY method for STR properties under ~$750K acquisition.

The headline math: instead of depreciating your whole purchase price at 27.5 years, you reclassify components (hot tub, furniture, driveway, landscaping) to 5/7/15-year MACRS — and overlay 2026 bonus depreciation (40%) for a much larger Year-1 deduction.

Who this is for

- Schedule E STR host who acquired a property in the current tax year (Year-1 study)
- Property cost between $250K and $750K
- Total purchase + closing capitalized basis is the input

Who this is NOT for

- Properties > $750K — hire an engineer-led study (referenced in Launch tab)
- Multi-property cost-seg portfolios — single-property workbook only
- Hosts who owned the property 1+ years — Form 3115 retroactive catch-up is CPA territory; this workbook produces the per-asset breakdown your CPA needs to file 3115

Wizard flow (10 tabs)

Two files:

- **DEMO** — Amanda's Smokies cabin: $480K + $8K closing = $488K basis, $80K land, $85K 5-yr, $35K 15-yr, $288K 27.5-yr residual. Expected accelerated Y1 ≈ $66,668 vs naive $10,514. Y1 tax savings @ 24% ≈ $13,477.
- **BLANK** — your property.

Step 1 — Property Basics (tab 1)

Purchase price + capitalizable closing costs + address + placed-in-service date + Schedule E or C.

Step 2 — Land Allocation (tab 2)

County tax assessor land value + improvements value. Workbook computes the ratio. **Land is never depreciable** — getting this right is the biggest audit-defense step.

If land < 10% or > 35% of total purchase, the tab fires a yellow warning to confirm.

Step 3 — 5-Year Property (tab 3)

Itemized table — 12 rows. Suggested items:

- Furniture, appliances, decorative lighting, window treatments, security cameras, smart locks, hot tub, smart TVs, kitchenware

Step 4 — 7-Year Property (tab 4)

10 rows. Furniture, electronics, kitchen equipment.

Step 5 — 15-Year Property (tab 5)

10 rows. Driveway, landscaping, exterior lighting, fencing, deck/patio.

Step 6 — Y1 Summary (tab 6)

The heart of the workbook:

- Per-class basis (5/7/15/27.5)
- Per-class Y1 deduction (with 40% bonus + MACRS Y1)
- **Naive 27.5-yr baseline** (what your default CPA would have done)
- **Extra Y1 deduction** = accelerated − naive
- **Y1 tax savings** = extra × marginal rate

Step 7 — Form 4562 Mirror (tab 7)

Print-ready Parts I (§179) / II (Bonus) / III (MACRS). **Hand this to your CPA.**

Step 8 — Launch (tab 8)

Big Y1 cards + audit-defense methodology box + Form 3115 retroactive decision card + print action.

Audit defense (non-negotiable)

The Launch tab includes:

1. **Methodology disclosure block** — tick the boxes for the supporting evidence (purchase docs / appraisal / inspector estimates / industry benchmarks). Sign and date.
2. **Supporting documents checklist** — purchase agreement, settlement statement, inspector report, appraisal, photos of itemized 5/7/15-yr items, vendor invoices.
3. **Sanity-check guardrails** — if (5yr + 7yr + 15yr) > 40% of improvements basis, the workbook fires a warning. The defensible range for STRs is typically 25–35%.

When to hire an engineer instead

- Property > $750K
- Multi-building or complex land improvements
- AGI > $500K (higher audit-risk bracket)

Form 3115 (retroactive catch-up)

Owned the property 1+ years and want to apply cost-seg retroactively? Form 3115 with §481(a) adjustment is the mechanism. **CPA territory.** This workbook does not compute the catch-up — but it produces the per-asset breakdown your CPA needs to file 3115.

Questions?

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